

Subject Code	AF6301
Subject Title	Advanced Financial Management
Credit Value	3
Level	6
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject contributes to the achievement of the DBA/DMgt outcome by acquiring an in-depth knowledge of a specialist area including some basic understanding of the impacts from digital technology (Outcome 2). The main purpose of this subject is to provide students with a fundamental philosophy and framework on corporate finance. It is expected that students would find the theoretical frameworks developed in this course relevant and useful to their professional careers. In particular, after taking this course, students should be able to examine many of the financial management issues in a rigorous and critical manner. Given the current wave of digital transformation, this subject will also provide a general introduction on FinTech.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Understand the critical problems in financial management; - Appreciate the impacts and promises of FinTech innovations in a critical manner. - Apply theoretical models to develop and implement financial management policies; - Have sufficient exposure to the frontiers of academic research in financial management so that they have adequate preparation for the analytical and critical skills required to pursue a thesis in the area of financial management if they so choose.
Subject Synopsis/ Indicative Syllabus	• Agency Problems • Corporate Governance • Capital Structure • Board and Ownership Structure • Corporate Control • Executive Compensation and Auditors • FinTech • ESG
Teaching/Learning Methodology	Since this is an advanced seminar course, you are assumed to be familiar with topics covered in an intermediate level of corporate finance/financial management. The course lectures and class discussion will be to a large extent a reflection of the assigned readings. Consequently, for the most efficient and productive use of class time <i>all students are required to read before the class the assigned materials to be discussed</i>. This is absolutely essential because you are expected to actively participate in and make contributions to class discussions.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	Continuous assessment	100%	✓	✓	✓	✓		
	1. Class participation	20%	✓	✓	✓	✓		
	2. Group presentation	40%	✓	✓	✓	✓		
	3. Mini Research Report	40%	✓		✓	✓		
	Total	100 %						
*Weighting of assessment methods/tasks may be different, subject to each subject lecturer.								
Student Study Effort Expected	Class contact:							
	▪ Lectures / Seminars						30 Hrs.	
	Other student study effort:							
	▪ Preparation for lectures						30 Hrs.	
	▪ Preparation for the term paper						60 Hrs.	
	Total student study effort						120 Hrs.	
Reading List and References	Agency Problems: Basics Jensen, M. and W. Meckling, 1976, Theory of the Firm: Managerial Behavior, Agency Costs, and Ownership Structure, <i>Journal of Financial Economics</i> 3, 305-360. Jensen, M., 1986, Agency Costs of Free Cash Flow, Corporate Finance and Takeovers, <i>American Economic Review</i>, 323-329. Corporate Governance: Overview Shleifer, A., and R. Vishny, 1997, A Survey of Corporate Governance, <i>Journal of Finance</i> 52, 737-783. La Porta, R., F. Lopez-de-Salinas, A. Shleifer and R. Vishny, 1999, Corporate Ownership around the World, <i>Journal of Finance</i> 54, 471-520. Djankov, S., R. La Porta, F. Lopez-de-Salinas, and A. Shleifer, 2008, The Law and Economics of Self-Dealing, <i>Journal of Financial Economics</i> 88, 430-465. Corporate Governance and Firm Value La Porta, R., F. Lopez-de-Salinas, A. Shleifer and R. Vishny, 2002, Investor Protection and Corporate Valuation, <i>Journal of Finance</i> 57, 1147-1170. Gompers, Paul, A. Joy L. Ishii, and Andrew Metrick. 2003. Corporate Governance and Equity Prices. <i>The Quarterly Journal of Economics</i> 118 (February): 107-155. Friedman, E., S. Johnson, and T. Mitton, 2003, Propping and Tunneling, <i>Journal of Comparative Economics</i> 31, 732-750. Jiang, G., C.M.C. Lee, H. Yue, 2010, Tunneling through Intercorporate Loans: The China Experience, <i>Journal of Financial Economics</i> 98, 1-20. Masulis, R. W., C. Wang and F. Xie, 2009, Agency Problems at Dual-Class Companies, <i>Journal of Finance</i> 64, 1697-1727.							

Aggarwal, D., O. Eldar, Y.V. Hochberg and L. P. Litov, 2022, The Rise of Dual-Class Stock IPOs, *Journal of Financial Economics* 144, 122-153.

Corporate Governance and Capital Markets

Morck, R., B. Yeung, and W. Yu, 2013, R^2 and the Economy, *Annual Review of Financial Economics* 5, 9.1-9.24.

Morck, R., B. Yeung, and W. Yu, 2000, The Information Content of Stock Markets: Why Do Emerging Markets Have Synchronous Stock Price Movements? *Journal of Financial Economics* 58, 215-260

Jin, L. and S. Myers, 2006, R^2 around the World: New Theory and New Tests, *Journal of Financial Economics* 79, 257 - 292.

Hutton, A.P., A.J. Marcus, and H. Tehranian, 2009. Opaque financial reports, R^2 , and crash risk. *Journal of Financial Economics*, 94, 67-86.

Ashbaugh-Skaife, Hollis, Daniel W. Collins, and Ryan LaFond. 2006. The Effects of Corporate Governance on Firms' Credit Rating. *Journal of Accounting & Economics* 42 (October): 203-243.

Selected Corporate Governance Issues

Board of Directors

Yermack, D., 1996, Higher market valuation of companies with a small board of directors, *Journal of Financial Economics*, 40, 185 – 211.

Hermalin, B. and M. Weisbach, 2003, Boards of directors as an endogenously determined institution: a survey of the economic literature. *Economic Policy Review* –Federal Reserve Bank of New York, 9, 7–26.

Adams, R.B., Ferreira, D., 2009. Women in the boardroom and their impact on governance and performance. *Journal of Financial Economics* 94, 291–309.

Klein, A., 2002. Audit committee, board of director characteristics, and earnings management. *Journal of Accounting and Economics* 33, 375-400.

Auditors

Fan, Joseph P.H., and T.J. Wong. 2005. Do External Auditors Perform a Corporate Governance Role in Emerging Markets? Evidence from East Asia. *Journal of Accounting Research* 43 (March): 35-72.

Yuyan Guan, Lixin (Nancy) Su, Donghui Wu, Zhifeng Yang, 2016. Do school ties between auditors and client executives influence audit outcomes? *Journal of Accounting and Economics*, 61: 506-525.

Managerial Incentives

Jensen, M. C., and K. J. Murphy, 1990, Performance pay and top management incentives, *Journal of Political Economy* 98, 225-262.

Core, J.E., R. W. Holthausen, and D. F. Larcker, 1999, Corporate governance, chief executive officer compensation, and firm performance, *Journal of Financial Economics* 51, 371-406.

Bergstresser, D., and T. Philippon. 2006. CEO incentives and earnings management. *Journal of Financial Economics* 80 (3), 511-529.

Gabaix, Xavier and Landier, Augustin, 2008. Why has CEO pay increased so much? *Quarterly Journal of Economics*, v123 (1), 49-100.

Sundaram, R., and D. Yermack. 2007. Pay me later: Inside debt and its role in managerial compensation. *Journal of Finance* 62, 1551-1588.

Dichu Bao, Simon Yu Kit Fung and Lixin (Nancy) Su, 2018. Can shareholders be at rest after clawback adoption? - Evidence from stock price crash risk. *Contemporary Accounting Research*, 35(3), 1578-1615.

Corporate Investment Decisions: M&As and Innovations

Masulis, Ronald W., Cong Wang, and Fei Xie. "Corporate governance and acquirer returns." *The Journal of Finance* 62, no. 4 (2007): 1851-1889.

Wang, Cong, and Fei Xie. "Corporate governance transfer and synergistic gains from mergers and acquisitions." *The Review of Financial Studies* 22, no. 2 (2009): 829-858.

Eaton, Gregory W., Feng Guo, Tingting Liu, and Micah S. Officer. "Peer selection and valuation in mergers and acquisitions." *Journal of Financial Economics* 146, no. 1 (2022): 230-255.

He, Jie, Tingting Liu, Jeffry Netter, and Tao Shu. "Expectation management in mergers and acquisitions." *Management Science* 66, no. 3 (2020): 1205-1226.

Hall, B.H., Jaffe, A.B., Trajtenberg, M., 2005. Market value and patent citations, *RAND Journal of Economics* 36, 16-38.

Hsu, Po-Hsuan, Xuan Tian, and Yan Xu. "Financial development and innovation: Cross-country evidence." *Journal of Financial Economics* 112, no. 1 (2014): 116-135.

Corporate Financing Issues: Equity issues, debt issues, SPAC

Myers, Stewart C. "Capital structure puzzle." (1984).

Ritter, Jay R. "The long-run performance of initial public offerings." *The Journal of Finance* 46, no. 1 (1991): 3-27.

Baker, Malcolm, and Jeffrey Wurgler. "Market timing and capital structure." *The Journal of Finance* 57, no. 1 (2002): 1-32.

Graham, John R., Si Li, and Jiaping Qiu. "Corporate misreporting and bank loan contracting." *Journal of Financial Economics* 89, no. 1 (2008): 44-61.

Kolb, Johannes, and Tereza Tykvova. "Going public via special purpose acquisition companies: Frogs do not turn into princes." *Journal of Corporate Finance* 40 (2016): 80-96.

Huang, Rongbing, Jay R. Ritter, and Donghang Zhang. "SPACs". *The Review of Financial Studies* (2023) forthcoming.

Agency Problems of Institutional Investors: Passive vs. active

Bebchuk, L.A., A. Cohen and S. Hirst, The Agency Problems of Institutional Investors, *Journal of Economic Perspectives* 31, (2017), 89-112.

Appel, Ian R., Todd A. Gormley, and Donald B. Keim. "Passive investors, not passive owners." *Journal of Financial Economics* 121, no. 1 (2016): 111-141.

Appel, Ian R., Todd A. Gormley, and Donald B. Keim. "Standing on the shoulders of giants: The effect of passive investors on activism." *The Review of Financial Studies* 32, no. 7 (2019): 2720-2774.

Andonov, Aleksandar, Yael V. Hochberg, and Joshua D. Rauh. "Political representation and governance: Evidence from the investment decisions of public pension funds." *The Journal of Finance* 73, no. 5 (2018): 2041-2086.

Cao, Jie, Bing Han, and Qinghai Wang, 2017, Institutional investment constraints and stock prices, *Journal of Financial and Quantitative Analysis* 52, 465-489.

Akbas, Ferhat, Will J. Armstrong, Sorin Sorescu, and Avanidhar Subrahmanyam, Smart money, dumb money, and capital market anomalies, *Journal of Financial Economics* 118, (2015), 355-382.

Fintech topics

Higgins, Sean. "Financial Technology Adoption: Network Externalities of Cashless Payments in Mexico." *American Economic Review* forthcoming (2020).

Allen, Franklin and Gu, Xian and Jagtiani, Julapa A., A Survey of Fintech Research and Policy Discussion (2020). *Review of Corporate Finance* 1 (2021), 259-339.

Cao, Sean, Wei Jiang, Baozhong Yang, and Alana Zhang. How to talk when a machine is listening: corporate disclosure in the age of AI. *The Review of Financial Studies* (2023) forthcoming.

ESG topics

Cao, Jie, Hao Liang, and Xintong Zhan, Peer effects of corporate social responsibility, *Management Science* 65, (2019), 5487-5503.

Flammer, Caroline, Does corporate social responsibility lead to superior financial performance? A regression discontinuity approach, *Management Science* 61, (2015), 2549-2568.

Deng, Xin, Jun-koo Kang, and Buen Sin Low, Corporate social responsibility and stakeholder value maximization: Evidence from mergers, *Journal of Financial Economics* 110, (2013), 87-109.

Edmans, Alex, Does the stock market fully value intangibles? Employee satisfaction and equity prices, *Journal of Financial Economics* 101, (2011), 621-640.

Hong, Harrison, and Marcin Kacperczyk, The price of sin: The effects of social norms on markets, *Journal of Financial Economics* 93, (2019), 15-36.

Cao, Jie, Sheridan Titman, Xintong Zhan, and Weiming Zhang. "ESG preference, institutional trading, and stock return patterns." *Journal of Financial and Quantitative Analysis* (2022): 1-35.

Hartzmark, Samuel M., and Abigail Sussman, Do investors value sustainability? A natural experiment examining ranking and fund flows, *The Journal of Finance* 74, (2019), 2789-2837.